Open Interest

Open Interest is the total number of outstanding contracts that are held by market participants at the end of the day.

It can also be defined as the total number of futures contracts or option contracts that have not yet been exercised (squared off), expired, or fulfilled by delivery.

Open interest applies primarily to the futures market. Open interest, or the total number of open contracts on a security, is often used to confirm trends and trend reversals for futures and options contracts.

Open interest measures the flow of money into the futures market. For each seller of a futures contract there must be a buyer of that contract. Thus a seller and a buyer combine to create only one contract.

Therefore, to determine the total open interest for any given market we need only to know the totals from one side or the other, buyers or sellers, not the sum of both.

The open interest position that is reported each day represents the increase or decrease in the number of contracts for that day, and it is shown as a positive or negative number.

How to calculate Open Interest

Each trade completed on the exchange has an impact upon the level of open interest for that day.

For example, if both parties to the trade are initiating a new position (one new buyer and one new seller), open interest will increase by one contract.

If both traders are closing an existing or old position (one old buyer and one old seller) open interest will decline by one contract.

The third and final possibility is one old trader passing off his position to a new trader (one old buyer sells to one new buyer). In this case the open interest will not change.

Benefits of monitoring open interest

By monitoring the changes in the open interest figures at the end of each trading day, some conclusions about the day's activity can be drawn.

Increasing open interest means that new money is flowing into the marketplace. The result will be that the present trend (up, down or sideways) will continue.
Increasing open interest means trend will continue

Declining open interest means that the market is liquidating and implies that the prevailing price trend is coming to an end. A knowledge of open interest can prove useful toward the end of major market moves.
Decreasing open interest means trend is coming to end

A leveling off of open interest following a sustained price advance is often an early warning of the end to an uptrending or bull market.

Leveling off of open interest following a sustained price advance means trend is end to uptrend

Open Interest - A confirming indicator

An increase in open interest along with an increase in price is said to confirm an upward trend. Similarly, an increase in open interest along with a decrease in price confirms a downward trend. An increase or decrease in prices while open interest remains flat or declining may indicate a possible trend reversal.

The relationship between the prevailing price trend and open interest can be summarized by the following table.

Price	Open Interest	Interpretation
Rising	Rising	Market is Strong
Rising	Falling	Market is Weakening
Falling	Rising	Market is Weak
Falling	Falling	Market is Strengthening

Price	Volume	Open Interest	Market
Rising	Up	Up	Strong
Rising	Down	Down	Weak
Declining	Up	Up	Weak
Declining	Down	Down	Strong

Price	Open Interest	Volume	Interpretation
Rising	Rising	Up	Strong
Rising	Falling	Down	Weakening
Falling	Rising	Up	Weak
Falling	Falling	Down	Strengthening

Open Interest

What Does *Open Interest* Mean?
1. The total number of options and/or futures contracts that are not closed or delivered on a particular day.

2. The number of buy market orders before the stock market opens.

Investopedia explains *Open Interest*
1. A common misconception is that open interest is the same thing as volume of options and futures trades. This is not correct, as demonstrated in the following example:

Time	Trading Activity	Open Interest
Jan 1	**A** buys 1 option and **B** sells 1 option contract	1
Jan 2	**C** buys 5 options and **D** sells 5 options contracts	6
Jan 3	**A** sells his 1 option and **D** buys 1 options contract	5
Jan 4	**E** buys 5 options from **C** who sells 5 options contracts	5

-On January 1, A buys an option, which leaves an open interest and also creates trading volume of 1.
-On January 2, C and D create trading volume of 5 and there are also five more options left open.
-On January 3, A takes an offsetting position, open interest is reduced by 1 and trading volume is 1.
-On January 4, E simply replaces C and open interest does not change, trading volume increases by 5.

Discovering Open Interest - Part 1

by Investopedia Staff, (Investopedia.com) (Contact Author | Biography)

Open interest, the total number of open contracts on a security, applies primarily to the futures market. It is often used to confirm trends and trend reversals for futures and options contracts.

What Open Interest Tells Us
A contract has both a buyer and a seller, so the two market players combine to make one contract.

The open-interest position that is reported each day represents the increase or decrease in the number of contracts for that day, and it is shown as a positive or negative number.

Increase in open interest along with an Increase in price is confirms an upward trend.

Increase in open interest along with a Decrease in price confirms a downward trend.

Increase or Decrease in prices while open interest remains flat or declining may indicate a possible trend reversal.

Rules of Open Interest
Now, there are certain rules to open interest that must be understood and remembered. They have been written in many different publications, so here I have included an excellent version of these rules written by chartist Martin Pring in his book "Martin Pring on Market Momentum":

1. If prices are rising and open interest is increasing at a rate faster than its five-year seasonal average, this is a bullish sign. More participants are entering the market, involving additional buying, and any purchases are generally aggressive in nature.
2. If the open-interest numbers flatten following a rising trend in both price and open interest, take this as a warning sign of an impending top.
3. High open interest at market tops is a bearish signal if the price drop is sudden, since this will force many 'weak' longs to liquidate. Occasionally, such conditions set off a self-feeding, downward spiral.
4. An unusually high or record open interest in a bull market is a danger signal. When a rising trend of open interest begins to reverse, expect a bear trend to get underway.
5. A breakout from a trading range will be much stronger if open interest rises during the consolidation. This is because many traders will be caught on the wrong side of the market when the breakout finally takes place. When the price moves out of the trading range, these traders are forced to abandon their positions. It is possible to take this rule one step further and say the greater the rise in open interest during the consolidation, the greater the potential for the subsequent move.
6. Rising prices and a decline in open interest at a rate greater than the seasonal norm is bearish. This market condition develops because short covering and not fundamental demand is fueling the rising price trend. In these circumstances money is flowing out of the market. Consequently, when the short covering has run its course, prices will decline.
7. If prices are declining and the open interest rises more than the seasonal average, this indicates that new short positions are being opened. As long as this process continues it is a bearish factor, but once the shorts begin to cover it turns bullish.
8. A decline in both price and open interest indicates liquidation by discouraged traders with long positions. As long as this trend continues, it is a bearish sign. Once open interest stabilizes at a low level, the liquidation is over and prices are then in a position to rally again.

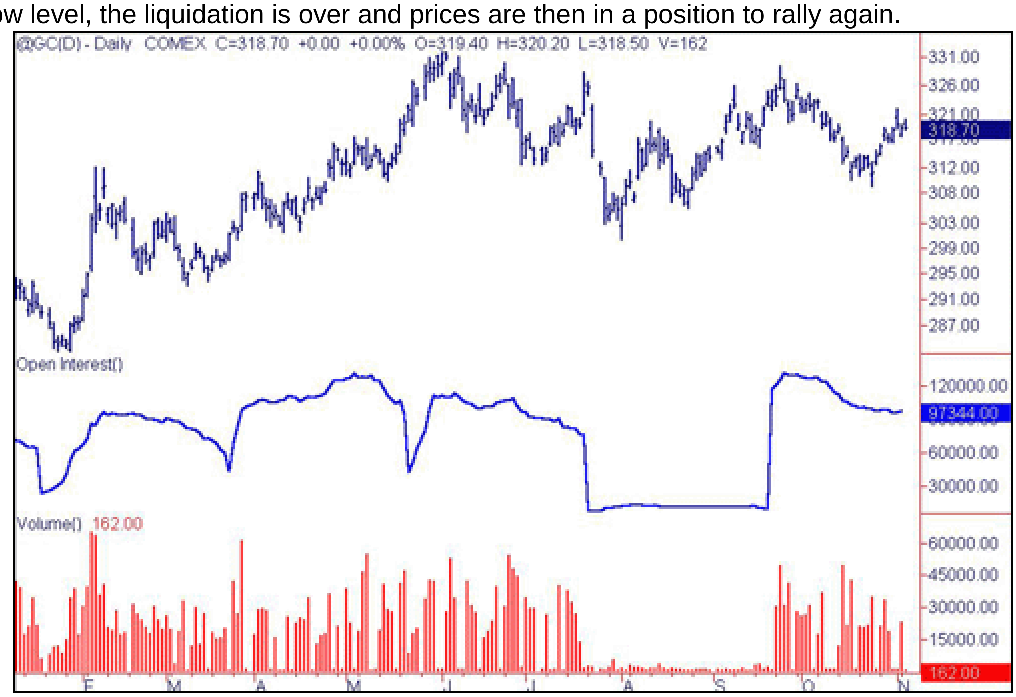

Chart Created with Tradestation

In this 2002 chart of the COMEX Gold Continuous Pit Contract, the price is rising, the open interest is falling off and the volume is diminishing. As a rule of thumb, this scenario results in a weak market.

If prices are rising and the volume and open interest are both up, the market is decidedly strong. If the prices are rising and the volume and open interest are both down, the market is weakening. Now, if prices are declining and the volume and open interest are up, the market is weak, but when prices are declining and the volume and open interest are down, the market is gaining strength.

In Part 2, we study open interest's relationship to volume and price.

by Investopedia Staff, (Contact Author | Biography)

Discovering Open Interest - Part 2

by Investopedia Staff, (Investopedia.com) (Contact Author | Biography)

In the Part 1 of this two-part series, we opened the door to open interest, an indicator often used by traders to confirm trends and trend reversals for both the futures and options markets. Open interest represents the total number of open contracts on a security. This article explains the importance of the relationship between volume and open interest in confirming trends and their impending changes.

Volume

Used in conjunction with open interest, volume represents the total number of shares or contracts that have changed hands in a one-day trading session in the commodities or options market. The greater the amount of trading during a market session, the higher the trading volume. A new student to technical analysis can easily see that the volume represents a measure of intensity or pressure behind a price trend. The greater the volume the more we can expect the existing trend to continue rather than reverse.

Technicians believe that volume precedes price, which means that the loss of either upside price pressure in an uptrend or downside pressure in a downtrend will show up in the volume figures before presenting itself as a reversal in trend on the bar chart. The rules that have been set in stone for both volume and open interest are combined because of their similarity; however, having said that, there are always exceptions to the rule, and we should look at them.

General Rules for Volume and Open Interest

Let's summarize these with an easy-to-read chart:

Price	Volume	Open Interest	Market
Rising	Up	Up	Strong
Rising	Down	Down	Weak
Declining	Up	Up	Weak
Declining	Down	Down	Strong

BULLISH

Price action increasing in an uptrend and open interest on the rise are interpreted as new money coming into the market (reflecting new buyers) and is considered bullish.

BEARISH

Price action is rising and the open interest is on the decline, short sellers covering their positions are causing the rally. Money is therefore leaving the marketplace and is considered bearish.

SHORT SELLING

Prices are in a downtrend and open interest is on the rise, chartists know that new money is coming into the market, showing aggressive new short selling. This scenario will prove out a continuation of a downtrend and a bearish condition.

Lastly, if the total open interest is falling off and prices are declining, the price decline is being caused by disgruntled long position holders being forced to liquidate their positions. Technicians view this scenario as a strong position technically because the downtrend will end as all the sellers have sold their positions.

The following chart therefore emerges:

Bullish: - an increasing Open Interest in a rising market
Bearish: - a declining Open Interest in a rising market
Bearish: - an increasing Open Interest in a falling market
Bullish: - a declining Open Interest in a falling market

When open interest is high at a market top and the price falls off dramatically, this scenario should be considered bearish. In other terms, this means that all of the long position holders that bought near the top of the market are now in a loss position, and their panic to sell keeps the price action under pressure.

There is no need to study a chart for this indicator since the rules are the most important area to study and remember. If you are a new technician starting to understand the basic parameters of this study, look at many different charts of gold, silver, and other commodities so you can begin to recognize the patterns that develop.

Options Trading Volume And Open Interest

by Jim Graham, Registered Investment Advisor, OptionVue.com (Contact Author |Biography)

Price movements in the options market result from the decisions of millions of traders. But there are a number of useful statistics besides price movements that tell you what those other market participants are doing. Here we take a closer look at two factors you should consider when trading options: daily trading volume and open interest.

Daily Trading Volume

Trading volume gives you important insight into the strength of the current market direction for the option's underlying stock. The volume, or market breadth, is measured in shares and tells you how meaningful the price movement in the market is.

Keep in mind that trading volume is relative and needs to be compared to the average daily volume of the stock in question. A large percentage change in price accompanied by larger than normal volume is a solid indication of market strength in the direction of the change. But large percentage increases in price accompanied by small trading volumes are less likely to indicate a market direction. In fact, they may indicate that a reversal is likely in the near term.

The Importance of Open Interest

Open interest is a concept all option traders need to understand. Although it is always one of the data fields on most option quote displays - along with bid price, ask price, volume andimplied volatility - many traders ignore open interest. But while it may be less important than the option's price, or even current volume, open interest provides useful information that should be considered when entering an option position.

First, let's look at exactly what open interest represents. Unlike stock trading, in which there is a fixed number of shares to be traded, option trading can involve the creation of a new option contract when a trade is placed. Open interest will tell you the total number of option contracts that are currently open - in other words, contracts that have been traded but not yet liquidated by either an offsetting trade or an exercise or assignment.

For example, say we look at Microsoft and open interest tells us that there have been 81,700 options opened for the March 27.5 call option. You may be wondering if that number refers to options bought or sold. The answer is that you have no way to know for sure.

When you buy or sell an option, the transaction needs to be entered as either an opening or a closing transaction. If you buy 10 of the Microsoft March 27.5 calls, you are buying the calls to 'open'. That purchase will add 10 to the open interest figure. If you wanted to get out of the position, you would sell those same options to 'close' and open interest would then fall by 10.

Selling an option can also add to the open interest. If you owned 1,000 shares of Microsoft and wanted to do a covered call by selling 10 of the March 27.5 calls, you would be entering a sale to open. Since it is an opening transaction, it would add 10 to the open interest. If you later wanted to repurchase the options, you would enter a transaction to buy to close. Open interest would then decrease by 10.

Things get a little more complicated if the options you trade are not created by the transaction, but instead the other side is taken by someone doing a closing transaction. For example, if you are buying 10 of the Microsoft March 27.5 calls to open, and you are matched with someone that is selling 10 of the Microsoft March 27.5 calls to close, then the total open interest number will not change.

So when you are looking at the total open interest of an option, there is no way of knowing whether the options were bought or sold - which is probably why many option traders ignore open interest altogether. However, you shouldn't assume that the open interest figure provides no important information.

One way to use open interest is to look at it relative to the volume of contracts traded. When the volume exceeds the existing open interest on a given day, this suggests that trading in that option was exceptionally high that day. Open interest can help you determine whether there is unusually high or low volume for any particular option.

Open interest also gives you key information regarding the liquidity of an option. If there is no open interest for an option, there is no secondary market for that option. When options have large open interest, it means they have a large number of buyers and sellers, and an active secondary market will increase the odds of getting option orders filled at good prices. So, all other things being equal, the bigger the open interest, the easier it will be to trade that option at a reasonable spread between the bid and ask.

Conclusion
Trading does not occur in a vacuum. Indicators and reports that show you what other market participants are doing can be a valuable addition to your trading system. Daily trading volume and open interest can be used to find trading ideas you might otherwise overlook. These indicators are also useful for making sure that the options you trade are liquid, allowing you easily to enter and exit a trade, as well as ensure you get the best possible price.

by Jim Graham, (Contact Author | Biography)

What Is Open Interest?
Many people tend to get open interest mixed up with volume. Open interest refers to the total number of contracts entered into, but not yet offset, by a transaction or delivery. In other words, these contracts are still outstanding or "open". Open interest that is held by a trader can be referred to as that trader's position. When a new buyer wants to establish a new long position and buys a contract, and the seller on the opposite side is also opening a new short position, the open interest is increased by one contract.

It is important to note that if this new buyer buys from another old buyer who intends to sell, the open interest does not increase because no new contracts have been created. Open interest is reduced when traders offset their positions. If you add up all the long open interest, you will find that the aggregate number is equal to all of the short open interest. This reflects the fact that for every buyer, there is a seller on the opposite side of transaction.

Relationship Between Open Interest and Price Trend
Overall, open interest tends to increase when new money is poured into the market, meaning that speculators are betting more aggressively on the current market direction. Thus, an increase in total open interest is generally supportive of the current trend, and tends to point to a continuation of the trend, unless sentiment changes based on an influx of new information.

Conversely, overall open interest tends to decrease when speculators are pulling money out of the market, showing a change in sentiment, especially if open interest has been rising before.

In a steady uptrend or downtrend, open interest should (ideally) increase. This implies that longs are in control during an uptrend, or shorts are dominating in a downtrend. Decreasing open interest serves as a potential warning sign that the current price trend may be lacking real power, as no significant amount of money has entered the market.

Therefore, as a general rule of thumb, rising open interest should point to a continuation of the current price move, whether in an uptrend or downtrend. Declining or flat open interest signals that the trend is waning and is probably near its end. (To read more, check out*Discovering Open Interest - Part 1* and *Part 2*.)

Putting it Together when Trading Forex

Take, for example, the period between October and November 2004, when the euro futures (in candlesticks) embarked on a trend of higher highs and higher lows (as seen in Figure 1 below). As depicted in the upper chart window, there were several opportunities to go long on euro, whether by trading breakouts of resistance levels or by trading bounces off the daily up trendline. You can see in the lower window that open interest of euro futures had been increasing gradually as the euro went up against the US dollar. Note that the price movements of spot EUR/USD (seen as blue line) moved in tandem with euro futures (candlesticks). In this case, the rising open interest accompanied the existing medium-term trend, hence, it would have given you a signal that the trend is backed by new money.

Figure 1: composite daily chart of euro futures (candlesticks) overlay with spot EUR/USD prices (dark blue line).

However, sometimes you may get a strong clue that a trend is of a suspect nature. This clue usually comes in the form of falling open interest that accompanies a trend, whether it is an uptrend or downtrend. In Figure 2, you can see that the Sterling futures (in candlesticks) trended south between September and October 2006 (as did spot GBP/USD, seen as dark blue line). During this same period, open interest fell, signifying that people were not shorting more contracts; therefore, the overall sentiment is not bearish at all. The trend then promptly reversed, and open interest started increasing.

Figure 2: A composite daily chart of Sterling futures

(candlesticks) overlay with spot GBP/USD prices (dark blue line).

Conclusion
Whether you are trading currency futures or spot forex, you can make use of the futures open interest to gauge the overall market sentiment. Open interest analysis can help you confirm the strength or weakness of a current trend and also to confirm your trade.

by Grace Cheng (Contact Author | Biography)

How do I measure option liquidity?

An option is a financial instrument that gives the holder the right to purchase shares in a company at a certain set price (strike price) before a set date known as the expiration date. Options, however, trade far less frequently than other financial instruments such as stocks or bonds. This can make it difficult for investors to enter into the option that they want. The best way to measure option liquidity, therefore, is to look at two factors: the daily volume and the open interest.

The daily volume of a specific option contract is simply a measure of the number of times that contract was traded on a particular day. For example, if the daily volume of the Ford $10 Dec05 call option contract is 15, this means that on that day, 15 option contracts to purchase Ford shares at $10 before Dec 2005 were traded. The higher this daily volume, the more liquid this option contract becomes as compared to options with a lower daily volume. However, because each day brings a new daily volume, it is not the most accurate measure of option liquidity. Furthermore, getting information on past daily volume is much more difficult to obtain than the vast information available on stocks.

Another measure of option liquidity is the open interest of the option. The open interest of an option contract is the number of outstanding options of that type (Ford $10 Dec 05) which currently have not been closed out or exercised. So if the open interest was 1,000, this means that there are currently 1,000 options that are still active to be exercised or sold. Because an option is simply a contract, more can be created every day, but the current open interest gives investors an idea of the interest that investors are showing in that contract type. The higher the open interest, the more liquid the option contract is thought to be. (For further reading, see *Discovering Open Interest - Part 1* and *Part 2*.)

Therefore, if you see an option that is traded 500 times a day with an open interest of 10,000, it is vastly more liquid for investors compared to an option that trades 10 times a day with an open interest of 1,000.

Illiquid Option

What Does *Illiquid Option* Mean?
An option contract that cannot be sold for cash quickly at the prevailing market price. Illiquid options have very low or no open interest.

Investopedia explains *Illiquid Option*
Most options are illiquid when they are far away from their expiration dates. If you're holding an illiquid option, you will usually notice a very large bid-ask spread on the contract. This is because there are not enough buyers to accommodate those wanting to sell.

Unfortunately, if you are trying to sell an illiquid option, there is a good chance you'll be selling at a discount, if at all.

Open Interest

By Adam Milton, About.com Guide

Open interest is a calculation of the number of active trades for a particular market. Open interest is calculated using futures and options contracts, so it is available for almost any futures or options markets (such as the EUR futures market). Open interest is most often used as an indication of the strength behind the market, but is not the same as volume, which is also often used as a strength indicator.

Calculation

Open interest is calculated by adding all of the contracts that are associated with opening trades and subtracting all of the contracts that are associated with closing trades. For example, if three traders (trader A, trader B, and trader C) are all trading the NQ futures market, their trades might affect the open interest in the following way:

1. Trader A enters a long trade by buying one contract
    - Open interest increases to 1

    Trader B enters a long trade by buying four contracts
    - Open interest increases to 5

    Trader A exits their trade by selling one contract
    - Open interest decreases to 4

    Trader C enters a short trade by selling four contracts
    - Open interest increases to 8

Open interest is not the same as volume. With volume, both entries and exits cause volume to increase, but with open interest, entries cause open interest to increase, while exits cause open interest to decrease.

Interpretation

Open interest is usually used as an indication of the strength of a price movement, but on its own it does not provide any indication of the direction of the price movement.

Increasing open interest shows that there is strength behind the current price movement, and decreasing open interest shows that there is a weakening of the current price movement. For example, increasing open interest along with increasing prices indicates that the upward price movement could continue, but decreasing open interest along with increasing prices indicates that the upward price movement may be about to reverse.

Open interest is also used to determine if a market is likely to be trending or range bound (i.e. choppy). Increasing open interest shows that the rate of new trades is increasing, which indicates that the market is being actively traded. While decreasing open interest shows that the rate of news trades is decreasing, which indicates that the market may be entering a time of less active trading.

What does the stock market term 'open interest' mean?

Technicians in the financial markets us a multidimensional approch to market analsyis. By tracking the movment of three sets of figures- price, volume, and open interest. Open interest primarily applys to future markets. The total number of outstanding or unliquidated contracts at the end of the day is open interest. Remember that offical volume and open interest figures are reported a day late in the futures makets and are, there for, plotted with a one day lag. open interest represents the total number of outstanding longs or shorts in the market, NOT!! the sum of both. Open interest is the number of contracts. A contrat must both have a buyer and a seller. There for, two market participants-a buyer and a seller- combine to create one contract. Open interest fugures is reported each day is followed by either a positive or negitive number showing the increase or decrease in the number of contracts for that day. Its those changes in open interest levels either up or down, that give clues as to the changing charactor of market participation and gives open interest its forcasting value.

Open Interest is the total number of outstanding contracts that are held by market participants at the end of the day. It can also be defined as the total number of futures contracts or option contracts that have not yet been exercised (squared off), expired, or fulfilled by delivery. Open interest applies primarily to the futures market. Open interest, or the total number of open contracts on a security, is often used to confirm trends and trend reversals for futures and options contracts. Open interest measures the flow of money into the futures market. For each seller of a futures contract there must be a buyer of that contract. Thus a seller and a buyer combine to create only one contract.

Indian Stock Market Future & Open Interest Movement Analysis by Nirmal Bang Securities

Submitted by Ketan Sharma on Wed, 09/09/2009 - 14:43

On Wednesday the market was volatile second day in a row with Nifty hovering between 4785 -4825 range and was not able to even cross yesterday's high of 4842 finally closing up 9 points at4814.25Nifty open interest increased to 298.19 lakhs, still being the highest OI seen in the last 30 days

(excluding on 27 august-(305.59lakhs) - last day of previous series) The OI increased by 2.96 lakhs .

Futures ended at 3.35 points premium compared to 3.2 points premium on the previous day, indicating a cautious sentiment in the market above 4800.

Put Call Ratio of OI for nifty further increased to 1.34 from 1.3 on the previous day. In the current settlement Put Call ratio is at highest level, and has increased for 5 days in a row.

OI remains high in Put options of 4400,4500,4600&4700. The 4600 Put OI being the highest at 70.04 lakhs. The 4700 put continued to add 8.58 lakhs shares. The 4800 put saw the highest addition of 9.49 lakh shares.

Between 4000-5300 calls, the open interest shed by 2.24 lakhs with 4900 call alone shed 5.05 lakh shares.

The high put call ratio of 1.34 along with huge build up on the put side of 28 lakhs share suggests the upside looks capped and investors are expecting market to fall.

Open interest

From Wikipedia, the free encyclopedia

Open interest (also known as **open contracts** or **open commitments**) refers to the total number of derivative contracts, like futures andoptions, that have not been settled in the immediately previous time period for a specific underlying security.

For each buyer of a futures contract there must be a seller. From the time the buyer or seller opens the contract until the counter-party closes it, that contract is considered 'open'.

[edit]Use of Open Interest in Technical Analysis

Many technical analysts believe that a knowledge of open interest can prove useful toward the end of major market moves. For some option traders, open interest indicates the intensity of trading in a financial instrument. If open interest increases suddenly, it is likely that new information about the underlying security has been revealed, which may indicate a near-term rise in the underlying security's volatility. However, neither an increase in volatility nor open interest necessarily indicate anything about the direction of future price movements. A leveling off of open interest following a sustained price advance is often an early warning of the end to an uptrending or bull market.

Technical analysts view increasing open interest as an indication that new money is flowing into the marketplace. From this assumption, one could conclude that the present trend will continue. Analogously, declining open interest implies that the market is liquidating, and suggests that the prevailing price trend is coming to an end.

However, according to the definition of open interest in this entry, a change in open interest indicates a difference in the number of buyers and sellers of a financial instrument. Like volatility, it has no directional component, it is just a tally of unsettled contracts.

For example, if trader X buys 2 futures contract from trader Y(who is the seller), then open interest rises by 2.

If another trader A buys 2 futures contracts from trader B, then the open interest rises to 4. Now, if trader X unwinds his position and the counter party is either Y or B, then the open interest in the system will reduce by that quantity.

But if X unwinds his position, and the counter party is a new entrant, say C, then the open interest will remain unchanged. This is because while X has squared off his position, C’s position is still open. The level of outstanding positions in the derivatives segment is one of the parameters widely tracked by the market.

MONDAY, APRIL 7, 2008

Volume and Open Interest

It's my opinion that successful trading for the long term is not possible without a sound understanding of both trader psychology and market psychology. Often individual traders focus so heavily on the results they are seeking that they forget that every other trader out there is doing the same thing: attempting to profit from price action. But it is the very nature of this conflict that creates price action because it is physically impossible for every executed trade to show a profit once each contract executed is liquidated. Futures trading is structured as a zero-sum environment. This means that in order for a price to print, BOTH a buying order and a selling order must be matched at the current traded price; otherwise no trade happens and no new price will print. Therefore, the issue of potential price change from orders being placed and filled is what ultimately creates the price action traders are attempting to capture as a profit to their individual accounts. As competing orders are matched, resulting in EITHER more futures contracts initiating a new position or closing an old open position (regardless of profit or loss to an individual account) is the issue of VOLUME and OPEN INTEREST.

One of basics to better understanding VOLUME and OPEN INTEREST is to understand it from the point of view that it represents individual traders who all can't be right as far a profit is concerned. Someone must liquidate to take a loss. Since most traders have a large portion of losing trades as their results over time; it follows that a lot of what is causing a price change MUST be losing trades being liquidated. By understanding that a large portion of VOLUME and OPEN INTEREST (when it changes) must mean a CHANGE in the value of someone's account balance; it becomes a bit better to understand where and when a turn in the market might be coming. Why? Because the people who helped put prices where they are now may have left the market completely; someone else has taken their place or not—that person has a completely different point of view on the market price and he might be in the wrong place too. He will liquidate sooner or later as well. With that in mind, let's discuss someone the basics of VOLUME and OPEN INTEREST.

VOLUME is the total number of contracts being trading for a period of time. You can think of VOLUME as the AMOUNT of orders passing through the market place as a total; most commonly calculated on a per day basis (daily VOLUME)

OPEN INTEREST is the total number of contracts that remain open and held through at least one trading day (Overnight at least) You can think of OPEN INTEREST as the number of contracts someone is willing to hold at least for a period of time needed to realize a profit or loss.

When VOLUME is HIGH; individual traders in large numbers are participating.
When VOLUME is LOW; traders are not participating to a large degree.

When OPEN INTEREST is RISING; traders are opening positions and assuming the risk that price will create a gain for them over at least one day.
When OPEN INTEREST is FALLING; traders are closing positions (liquidating) and they are EITHER accepting their loss or taking their profit.

The study of VOLUME and OPEN INTEREST is the study of “Who is participating and are they getting in or out with a gain or loss?” Discerning what this means to potential price movement coming over the next period of time forward is where VOLUME and OPEN INTEREST can be a good clue as to whether a market is ready to fall in price or rise in price.

Good Luck!

Open Interest

The total number of outstanding or unliquidated contracts at the end of contracts at the end of the day. Open interest represents the total number of outstanding longs or shorts in the market, not the sum of both. Open interest has very definite seasonal tendencies that should be taken into consideration.

1.) Rising open interest in an uptrend is bullish.
2.) Declining open interest in an uptrend is bearish.
3.) Rising open interest in a downtrend is bearish.
4.) Declining open interest in a downtrend is bullish.

what-is-open-interest-in-stock-market?

What is open interest in the futures and options segment? Open interest is the total number of outstanding futures and options (F&O) contracts at any point in time. In other words, these are open or yet to be settled contracts.

Open Interest is the total number of outstanding contracts that are held by market participants at the end of the day. It can also be defined as the total number of futures contracts or option contracts that have not yet been exercised (squared off), expired, or fulfilled by delivery. Open interest applies primarily to the futures market. Open interest, or the total number of open contracts on a security, is often used to confirm trends and trend reversals for futures and options contracts. Open interest measures the flow of money into the futures market. For each seller of a futures contract there must be a buyer of that contract. Thus a seller and a buyer combine to create only one contract.

CONCLUSION :-

Price	Open Interest	Volume	Interpretation
Rising	Rising	Up	Strong
Rising	Falling	Down	Weakening
Falling	Rising	Up	Weak
Falling	Falling	Down	Strengthening

Bullish: - an increasing Open Interest in a rising market

Bearish: - a declining Open Interest in a rising market

Bearish: - an increasing Open Interest in a falling market

Bullish: - a declining Open Interest in a falling market